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# ❖ Horizon Asset Management, Inc. ❖

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October 30<sup>th</sup>, 2008

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## Interim Market Commentary

Expanding on the 3<sup>rd</sup> Quarter Commentary  
General Market Comments  
Holdings Highlights

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This past Friday, it happened that, in the change for a cup of coffee, I received an old penny. I always look for them and always check the year. This one was 1929, certainly resonant with the public mood, coincident with this letter, and perhaps providential in some fashion – although perhaps not in the direction that the greater public mood suggests. Two of the great fears now are that we are of another Great Depression and of a complete collapse of share prices – that prices can continue declining without surcease and the ‘market’ will contract toward zero. If it should collapse toward zero, should not one’s portfolio be liquidated now in order to preserve what little remains?

***How, after all, and when, does one recognize when an investment mistake has been made? How far a decline, over what period, is sufficient evidence of a flawed investment strategy?***

There are historical references that can provide some clarity to these questions. It would not be inappropriate to begin with the author of the classic investment textbook, “Security Analysis”, Benjamin Graham, often referred to as the father of modern value investing. In mid-1929, just prior to the market collapse, his Graham Fund (then known as the Benjamin Graham Joint Account) owned \$2.5 million of convertible preferred shares, offset by an equal amount of equivalent common stock short sales; \$4.5 million of genuine long positions; and \$2 million of borrowings against these positions. His investment returns in the four years 1929 to 1932, as follow, cumulated to a negative (67.7)%, worse than the stock market.

|            | Benjamin Graham<br><u>Joint Account</u> | Stock<br><u>Market</u> |
|------------|-----------------------------------------|------------------------|
| 1929       | (20)%                                   | (8)%                   |
| 1930       | (50)%                                   | (25)%                  |
| 1931       | (16)%                                   | (43)%                  |
| 1932       | <u>(3)%</u>                             | <u>(8)%</u>            |
| Cumulative | (67)%                                   | (64)%                  |

Graham compared his experience during this period to Dante’s version of Hell; yet, he continued to practice his value investing approach. He was able to purchase shares of companies trading at prices below their net working capital. The collapse of share prices also enabled him to purchase high quality companies with dividend yields of 8%, employing borrowed funds that cost no more than 2%.

Nevertheless, his value investing philosophy could be supported only in theory in the face of what was, in practice, a failure in each of those four years. As is known, over the ensuing two decades Graham achieved virtually unexcelled positive returns, yet objective measures during the period in question would have suggested an inherent flaw in the methodology and principles of value investing, given that a margin of safety was not produced. What value investing could not do was permit him to conceive that the demand for goods and services that were in evident demand in 1929 would diminish remarkably in

the ensuing years, a phenomenon still debated by scholars, and foreseen no better by contemporary luminaries such as John Maynard Keynes and Irving Fisher.

A fitting second historical reference would be Mr. Graham's most famous student, Warren Buffett; few would argue that he is not one of the most disciplined and successful value investors on record. In one sense, his skills during the 1969 to 1975 period, one of the most treacherous ever experienced by value investors, represented a triumph of value investing. The year 1969 marked the end of the "go-go" era of high valuations, and the commencement of a period of high inflation and higher interest rates. That year, the Federal Funds rate reached the unprecedented level of 9.2%. The Berkshire Hathaway book value per share expanded by a double-digit rate during this period, while the stock market produced a negative real rate of return:

|            | Berkshire Hathaway<br><u>Book Value/Share</u> | S&P 500<br><u>Return</u> |
|------------|-----------------------------------------------|--------------------------|
| 1969       | 16.2%                                         | (8.4)%                   |
| 1970       | 12.0                                          | 3.9                      |
| 1971       | 16.4                                          | 14.6                     |
| 1972       | 21.7                                          | 18.9                     |
| 1973       | 4.7                                           | (14.8)                   |
| 1974       | 5.5                                           | (26.4)                   |
| 1975       | <u>21.9</u>                                   | <u>37.2</u>              |
| Cumulative | 148.2%                                        | 11.6%                    |
| Annualized | 13.9%                                         | 1.6%                     |

Yet, an investment advisor who might have proposed Berkshire Hathaway as the core holding of a concentrated portfolio at, let us say, the end of 1972 (or even 1968), might well have been replaced for poor judgment. At year-end 1972, Berkshire Hathaway traded at an 11% premium to book value. The share price woefully underperformed during the next two years, falling by 49% in 1973 and 1974, while the stock market declined by 37%. The 1973 annual report noted significant unrealized losses in the company's stock portfolio; the 1974 annual report indicated that the unrealized losses were even greater. Nevertheless, the company continued to purchase equities and even began to purchase its own shares. It was during the 1970s that Mr. Buffet increased his ownership of Berkshire Hathaway from 29% to 46%, which ultimately made him wealthier by many billions of dollars.

At that juncture, paradoxically, a typical manager would have been selling equities as they began to produce losses, and certainly would not have begun to purchase the Washington Post, as Berkshire began to in early 1973. Had Berkshire been a mutual fund, it would have begun to lose assets as well; as a corporation, it was merely its share price that could decline. By year-end 1974, had the investment advisor pointed out to clients that the shares were trading at a 49% discount to book value and recommended their retention, he would have been proven wrong once again: during 1975, not only did the Berkshire

Hathaway book value rise by 15% points less than the 37% return of S&P 500, but the shares declined by an additional 5%, for a cumulative loss of (52)% and a discount to book value of an astounding 60%; by comparison, the 1973, 1974 and 1975 cumulative loss of the S&P 500 was only (14)%.

|            | <u>Berkshire Hathaway</u><br><u>Stock Price Return</u> | <u>S&amp;P 500</u><br><u>Return</u> |
|------------|--------------------------------------------------------|-------------------------------------|
| 1969       | 13.5%                                                  | (8.4)%                              |
| 1970       | (7.1)                                                  | 3.9                                 |
| 1971       | 76.9                                                   | 14.6                                |
| 1972       | 14.5                                                   | 18.9                                |
| 1973       | (10.1)                                                 | (14.8)                              |
| 1974       | (43.7)                                                 | (26.4)                              |
| 1975       | <u>(5.0)</u>                                           | <u>37.2</u>                         |
| Cumulative | 2.7%                                                   | 11.6%                               |
| Annualized | 0.4%                                                   | 1.6%                                |

Oddly, in one analytical sense, the Berkshire Hathaway shares were priced at ‘fair’ value, since they had to reflect the proper risk premium: a low-risk 5-year U.S. Treasury Note in 1974 could have been purchased for a yield in excess of 8% (inflation was 12%), and since the return on book value in each of the preceding two years had been only about 5%, the reduction of the Berkshire Hathaway share price at year-end 1974 to a 49% discount to book value would produce an adjusted yield on book of over 10%. From that perspective, it was no different than valuing a 5%-coupon bond at 50 to produce a 10% yield, which appears entirely reasonable – yet which is simultaneously tantamount to saying that pricing Berkshire Hathaway at a 50% to 60% discount to book value was entirely reasonable.

For Berkshire Hathaway, too, a disciplined approach to value investing could neither foresee nor avoid large-scale interim losses. It is perhaps sufficient to say that value investing can assess the worth of a given enterprise against its trading price at a given moment; it makes no claim to foresee the diminutions of value caused by economic crisis. Yet one of the lessons of the Benjamin Graham and Warren Buffet experiences is that even a serious setback does not necessarily preclude success from the consistent application of value investing. The investing public was so traumatized during the Depression and during the early 1970s, that it was possible to locate incredibly undervalue securities; in the aftermath of the Depression, this phenomenon persisted until the mid-1950s. Stated alternatively, the Graham fund and Berkshire Hathaway were able to purchase a variety of superb investments because the investment community appeared to have focused its attention on the price rather than the value of an asset.

***The Meaninglessness of Share Prices in the Current Environment***

As to the fear of the Great Crash and Great Depression scenarios, there are both great similarities and differences relative to the current circumstance. One similarity can be quantified easily. From year-end 1929 to year-end 1932, the stock market declined by 61%; the inflation rate, though, was negative, with the prices of goods and services declining by 28% during this period, such that the real return was (50)%. During the past 12 months, from the end of October 2007 through Friday, October 24<sup>th</sup>, the S&P 500 has returned (41.6)%; net of the 4.9% general price inflation this past year, the real return has been (44.3)%. Thus, the stock market has come quite close to discounting the environment of the Great Depression.

Yet, as reviewed previously, price has diverged sharply from economic reality. As to security prices, we are already aware that a AAA mortgage backed security that would be worth face value on a held-to-maturity basis, is only worth 50% of face value on sale; that although the price of gold is about the same today as one year ago, the share prices are 50% or more lower. As to the economy, one of the starkest differences between this era and that of the 1930s is the behavior of the Federal Government and the structure of the economy. It was considered too radical an idea to invest government capital into failing banks during the 1930s, when unemployment reached 25%; this year, with unemployment at 6.1%, it was considered unthinkable to not do so. The Federal Reserve balance sheet has expanded by 25% during recent weeks, and it is double the size of one year ago.

Moreover, the government, on an operating basis, which includes salaries and expenditures, accounts for a much greater proportion of the U.S. economy than during the 1930s; health care now represents over 12% of GDP, whereas it was minimal during that period; and there are substantial transfer payment systems in place that were non-existent in that era. These are basic elements of the economy that are not subject to contraction in the manner that occurred then. The signal observation, though, is that securities prices reflect the valuations of a Depression environment.

The divergence between financial worth and share price is being driven by the involuntary liquidation of securities as access to ordinary-course refinancing is withdrawn or leverage is decreased or liquidity is otherwise required. It has led to ludicrously low valuations, of the sort witnessed only during select historical periods. As this commentary is being written, shares of Las Vegas Sands (one of our worst performing holdings this year) are trading at a price of \$12. Just two days ago, on Tuesday, October 28<sup>th</sup>, the stock traded at \$4.32. This represents a move of 177% in two days. Is the business of LVS really worth almost 3 times what it was 48 hours ago? The question is somewhat rhetorical, but the point is that stock price analysis in the current market is meaningless. Such are the times we live in.

Ultimately, the inventory of such securities for sale will exhaust itself. At the same time, as short-term rates, such as on Treasury Bills or money market funds, decline and dividend yields and interest rates on securities rise, the relative attractiveness of a 4% or 5% or 10% dividend yield will increase. Ultimately, as has occurred in the past, the combination of low valuations and the needs of private capital will combine appropriately.

**Holding Highlights:**

**Anglo American** (*Held in Core Value, Strategic Value, Large Cap Core, Strivers*) is one of the world's largest several mining companies. Aside from its base metals operations (copper, nickel, zinc), which account for about 45% of operating profit, it supplies over one-third of the world's platinum and owns 40% of DeBeers, the world's largest diamond producer. The company expects to increase its production volumes of copper, nickel, iron ore and metallurgical near or above double-digit rates over the next four years. The shares, though, have declined by over 70% from their highs earlier this year, a result that under ordinary circumstances should, under ordinary conditions, be cause for reassessment of the company's balance sheet risk, which is one of the great questions of the day.

Anglo American does have \$8.75 billion of combined short- and long-term debt. On the other hand, it also has \$3.34 billion of cash, and also produced net income in excess of \$5 billion in each of the past two years. It had begun to deploy these earnings to repurchase shares, to the degree that between year-end 2005 and June of this year, it bought about \$10.5 billion worth. This is a rather extraordinary sum; it reduced the share count by 19.4%, or by 8.2% per year. Since the shares now trade at 5.5x 2007 net earnings and 6.4x 2006 earnings, should the company choose to apply its income toward repurchasing shares, it could now create double-digit earnings growth via this modality alone, irrespective of expanding volumes.

**Icahn Enterprises** (*Held in Strategic Value, Research Portfolio, Small Cap Core, Strivers*) is the investment company that is managed and 91%-owned by Carl Icahn. The bonds of this company are lately priced between about 50% and 60% of face value. Under ordinary circumstances, there would be significant information content in this price, specifically about the company's financial viability. Yet, cash and liquid securities of \$3.5 billion exceed the \$2.0 billion of total debt by about \$1.5 billion, and no debt is due before June 2012. At the time of this writing, the shares are priced at only \$2 billion, so that they trade at less than cash on the balance sheet, and not much more than net cash. There are, of course, the operating businesses of the company as well. If Mr. Icahn had a reputation as a spendthrift, one might question the safety of the \$3.5 billion of cash and liquid securities, but that does not seem to be his reputation. Moreover, the above figures do not include the company's investments in the Icahn Fund, the \$7 billion hedge fund of which the company is general partner. There are over \$2.2 billion of non-fee paying assets in this fund, a meaningful portion of which is presumed to be assets of the company. It is difficult for a company to not be solvent when its debt is exceeded by its cash.

**Canadian Natural Resources** (*Held in Research Portfolio, Small Cap Core, Strivers, Global Large Cap Value*) holds 5 billion barrels of proved oil reserves, comprised of conventional oil, natural gas and oil sands reserves. In addition, it is developing another oil sands mine that it believes contains 6 to 8 billion barrels of oil. One pays only somewhat over \$2 per barrel for oil reserves via the CNQ shares, which is a small fraction of the price

paid for oil through a typical large oil company. The shares are 50% lower than one year ago, and more than 60% lower than their high earlier this year. There is presumably concern about the capacity to produce earnings at a lower oil price. This concern may be partially addressed by reference to the first six months of 2007, when the average sales price for the company's production was \$49.50 per barrel, and its cash flow, net of interest expense and taxes, was about \$28 per barrel. Thus, this does not appear to be a problem.

There may be concern about the company's balance sheet, since it does have a \$2.4 billion credit facility maturing in the coming year, and \$400 million of debt maturing in 2010. Moreover, net of capital expenditures of \$3.9 billion during the first half of this year, cash flow was slightly negative. Yet, \$2.2 billion of those capital expenditures were for the new oil sands project, which is scheduled to be operational now, in the 4<sup>th</sup> quarter, so these expenditures will subside sharply. Moreover, this one project (among many) is expected to initially produce 110,000 barrels per day, which should generate new cash flow on the order of \$1 billion per year. Further, this portion of the project will increase total CNQ production by almost 20%. Production is expected to rise to 250,000 barrels per day by 2013, which would raise production by another 37%. At that rate of production, the project would produce for roughly 65 years or longer, versus the typical 12-15 year production profile of most oil companies. For those concerned with near-term valuation vis-à-vis declining oil prices, one can use the 2006 earnings of CNQ, a year when petroleum prices averaged about \$60 per barrel. The shares are priced at 9.5x 2006 earnings (in US\$); all else equal, though, production in the coming year will be almost 20% higher.